

Axie Duel — Economy & Tokenomics

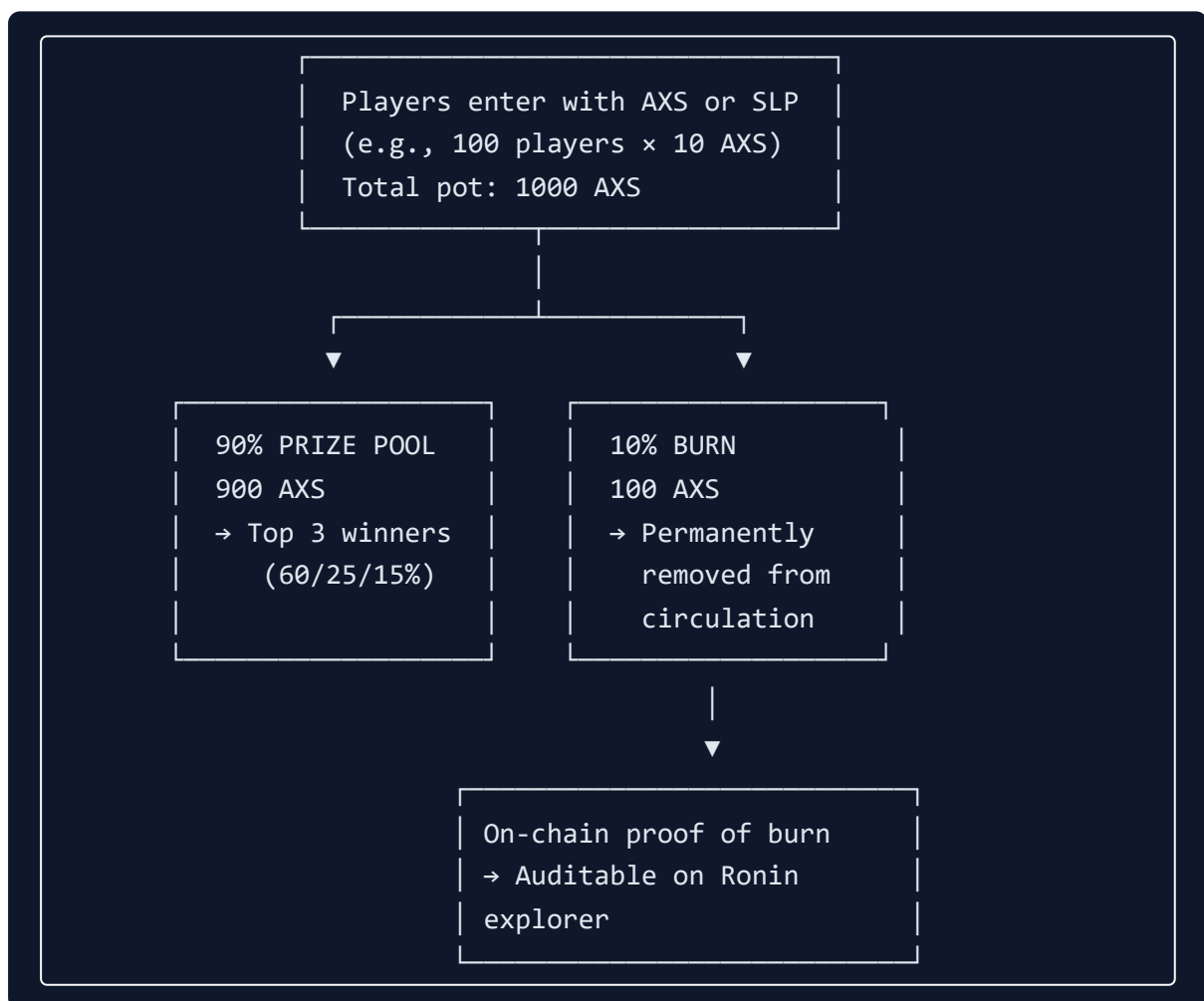
Core thesis

Every transaction in Axie Duel either burns AXS/SLP or routes value to the Sky Mavis Community Treasury. The economy is designed to be deflationary by default — aligned with Sky Mavis's pillar #1: *"Increase AXS demand sinks"*.

Tournament economy: the primary AXS/SLP sink

Tournaments are the heart of the competitive economy and the largest deflationary mechanism.

Flow



Numbers (per tournament)

Param	Value
Min entry fee	1 AXS or 100 SLP
Max entry fee	100 AXS or 10,000 SLP (sponsored events)
Players (typical)	64-256
Burn rate	10% (fixed)
Prize distribution	60% / 25% / 15% (top 3)
Tournament cadence	Daily small + Weekly large

Why 10% burn?

- **Sustainable:** high enough to matter (\$M scale at maturity), low enough that players still get strong ROI on prizes.
- **Below typical Web3 game taxes:** most are 15-30% — we're player-friendly while still deflationary.
- **Alignment with Sky Mavis priorities:** Sky Mavis has been actively burning AXS as part of tokenomics — we accelerate that.

Why both AXS AND SLP?

- **AXS** is the governance token; deflationary pressure here directly benefits all holders.
- **SLP** is the legacy token Sky Mavis explicitly wants to absorb/burn (its supply was inflated during 2021 P2E era).
- Accepting both gives players flexibility AND helps Sky Mavis solve the SLP overhang.

Other AXS sinks (non-tournament)

Action	AXS spent	Burn %	Rest
Open booster pack	500 AXS	25% (125 burn)	75% to Treasury
Premium Battle Pass	1,000 AXS	100% (1000 burn)	0% (cosmetic, full burn)

Deck slot expansion	50 AXS	100%	0%
Cosmetic card frame	20 AXS	100%	0%
NFT card minting (Spell/Trap from your collection)	200 AXS	50%	50% Sky Mavis royalty

Total estimated burn rate (mature platform with 50k DAU): ~\$80k AXS/SLP burned per month.

Revenue split per Sky Mavis Builders Program guidelines

Monthly revenue tier	Community Treasury	Operations + team
\$0 - \$10k	0%	100% (early stage, runway)
\$10k - \$50k	20%	80%
\$50k - \$200k	25%	75%
\$200k+	25-30%	70-75% (negotiable)

This is on top of the 10% tournament burn which is *not* Sky Mavis revenue — it's pure deflationary value to all AXS holders.

F2P player ROI vs NFT holder ROI (validation of balance)

F2P player (Web2 only):

- Gets free starter deck day 1
- Earns ~50 Dust per match win
- Daily quests: 100-500 Dust per day
- Free tournaments: prize pool funded by sponsor or platform
- **Top 10% ladder reachable** without spending a single AXS

NFT holder (Web3):

- Same starter deck access (no day-1 advantage)
- Their Axes become unique cards (collectible + flavor + side-grade effects)
- Access to AXS/SLP-entry tournaments (higher prize ceilings)
- Ranked Premium tier (separate matchmaking pool, NOT power tier)
- **Same top 10% ladder reachable** — NFT cards do not provide raw power advantage

This is the F2P promise: skill + deck-building > pay-to-win. NFT holders get *flavor* + *collectibility* + *access to higher-stake events*, never raw stat advantage.

Smart contracts (Saigon-ready, mainnet post-partnership)

- **AxieDuelToken.sol** — ERC-20 capped (max supply 100M), pausable. **Used for off-chain → on-chain Dust→Token swap when mainnet rolls out.**
- **AxieDuelCardNFT.sol** — ERC-721 for Spell/Trap card NFTs (NOT for Axies — those stay as Axie Infinity originals).
- **AxsTokenMock.sol** — testnet ERC-20 mirror of AXS for local development.

All audited code-ready in **packages/contracts/** . Deployment pending Sky Mavis collaboration on Saigon faucet provision + mainnet timeline alignment.

Audit & transparency

- All burn transactions emit on-chain **Transfer to 0x0** events — auditable on <https://saigon-app.roninchain.com> (testnet) and Ronin mainnet (post-partnership).
- Tournament prize distributions are **single multisig payouts per tournament** — single transaction proof, easy to audit.
- Off-chain ledger (**AxsTransaction** , **LunacianTransaction** Prisma models) keeps a parallel audit trail.

Comparison to other Web3 game economies

Game	Burn rate	Tournament tax	F2P viability
Axie Duel	10% tournament + 25% pack	10%	High (top 10% ladder F2P)
Axie Origins	Variable AXS sinks	Variable	Limited (NFT-gated)
Pixels	Token taxes on actions	High platform fees	Limited
Heroes of Mavia	NFT-locked progression	N/A	Low
Yu-Gi-Oh Master Duel	N/A (no Web3)	N/A	Strong F2P

Axie Duel hits the sweet spot: Master Duel's F2P balance + real Web3 deflationary mechanics.

Open questions for Sky Mavis

1. **AXS faucet availability for Saigon testing:** can we get a small allocation (10k AXS) for closed-beta tournament testing on testnet?
2. **Mavis Marketplace integration:** when we mint Axie-card NFTs from our collection, can they be listed on Mavis Marketplace day 1?
3. **SLP burn coordination:** are there specific SLP burn targets/cycles we should align our tournament schedule with?
4. **Revenue split flexibility:** at \$200k+/month, is the 25% Treasury split firm or negotiable based on our specific economic alignment?

These are all post-acceptance discussions — happy to align with Sky Mavis's existing tokenomics roadmap.

Bottom line: every dollar that flows through Axie Duel either burns AXS/SLP or routes value to the Sky Mavis Community Treasury. The economy is **structurally aligned** with Sky Mavis's stated priorities — not retrofit, designed-in.